IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.A (CAA) No. 73/BB/2017
Under Section 230 to 232 of the Companies Act, 2013
Order delivered on: **13TH March 2018**

IN THE MATTER OF SCHEME OF AMALGAMATION
HOTHUR MOTORS PRIVATE LIMITED
WITH
MINERA STEEL & POWER PRIVATE LIMITED

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Minera Steel & Power Private Limited,
No.811/2, NH 63, Hospet Road,
Alipur, Bellary-583105. - APPLICANT / TRANSFEREE COMPANY

For the Petitioner(s): M/s J.Sagar Associates, Level 3, Prestige Obelisk, 3, Kasturba Road, Bengalauru-5670001- Advocates for the Applicant Company.

Per: **Hon'ble Shri Ratakonda Murali, Member (Judicial) – Author.**

Heard on: 08/09/2017, 12/09/2017,05/10/2017, 30/10/2017, 06/12/2017, 18/12/2017, 03/01/2018, 31/01/2018, & 26/02/2018

O R D E R

This Company Application is filed on behalf of the Applicant Company, praying to order to dispense with the convening of the meetings of the Shareholders, Secured Creditors, Unsecured Creditors and Unsecured Trade Creditors of the Applicant / Transferee Company for purposes of considering the Scheme of Amalgamation etc.

The averments made in the Company Application are briefly described hereunder:-

The Applicant Company seeks an order to dispense with convening of meeting of Equity Shareholders, Secured Creditors, Unsecured Creditors and Unsecured Trade Creditors of the Applicant / Transferee Company for approving the scheme of amalgamation of **Hothur Motors Private Limited** which is proposed to be merged with Transferee Company **Minera Steel & Power Private Limited** in terms of Scheme of Amalgamation shown as **Annexure-F.**

It is further averred in the Company Application that the Applicant / Transferee Company was originally incorporated as a private company under the name and style of **KMMI Steel Private Limited** on 15th February 2006. Subsequently, the company has changed its name to **Minera Steel & Power Private Limited** and obtained a fresh Certificate of Incorporation on 11th February 2011 from the Registrar of Companies, Karnataka bearing CIN No. **U27101KA2006PTC038481.**

The Registered office of the Applicant / Transferee Company is situated at # 811/2, NH 63, Hospet Road, Alipur, Bellary-583105.

The Transferee Company's objects as set out in its Memorandum of Association inter alia includes are stated hereunder:

i) To set up plant(s) for manufacture Iron & Steel products through rotary/vertical kiln(s), cupolas, blast furnaces, basic oxygen furnaces, energy optimizing furnaces, smelters, electric oxygen furnaces, induction furnaces, LD convertors, similar such modern equipments and continuous casting and roiling mills/plants with related plants such as sponge iron/hot briquetted iron, pig iron, sinter plant, oxygen, nitrogen, argon plants, lime & dolomite calcinations plants, using or not various grades of sponge iron/hot briquetted iron and/or scrap for producing all kinds of iron & steel including special, spring stainless, forging and alloy steel ingots and carry on the business of processors, refiners, of all kinds of iron and steel in any methods with technologies either developed departmentally, indigenously or with foreign collaborations or using technology developed by individually or association of persons or independent institutions or companies etc.,

The copies of Certificate of Incorporation and Memorandum and Articles of Association of the Applicant/Transferee Company are produced as **Annexure-A.**

The authorized share capital of the Applicant/Transferee Company is Rs 110,00,00,000/- divided into 11,00,00,000 Equity Shares of Rs 10/- each. The issued, subscribed and paid up share capital is Rs. 99,00,00,000/- divided into 9,90,00,000 Equity Shares of Rs 10/- each fully paid up.

The Copy of Audited Balance sheet of the Applicant / Transferee Company as on 31st March, 2016 is produced as **Annexure-B.**

The Board of Directors of the Applicant / Transferee Company have approved and adopted the Scheme of Amalgamation at its meeting held on 3rd March 2017 by virtue of which the **Hothur Motors Private Limited** which is Transferor Company is proposed to be merged with the Applicant/Transferee Company **Minera Steel & Power Private Limited.**

A copy of the Board Resolutions of the Applicant / Transferee Company is shown as **Annexure-C.**

We have heard the Counsel for the Applicant / Transferor Company, who has filed the application to dispense with for convening of meetings of the Equity Shareholders, Secured Creditors, Unsecured Creditors and Unsecured Trade Creditors of the Applicant / Transferee Company for considering the Scheme of Amalgamation. The Counsel for the Applicant / Transferee Company further contended that, the Board of Directors of the Transferee Company is of the opinion that the merger will lead synergies of operations and more particularly the following benefits:

a) Both the Transferor Company and Transferee Company have common shareholders. The amalgamation will make it possible to achieve economies in scale and the amalgamated company can address the market more effectively.

b) As a consequence of this amalgamation and corporate restructuring, the amalgamated company will have greater potential to develop and further grow and diversify its businesses. This would also simplify management structure leading to better administration and a reduction in costs from more focused operational efforts, rationalization, standardization and simplification of business processes.

c) In order to obtain the benefits of consolidated business, the Transferor Company have sought to be amalgamated with the Transferee Company.

The Applicant Company is seeking an order to dispense with convening of the meeting of Equity Shareholders, Secured Creditors, Unsecured Creditors and Unsecured Trade Creditors of the Applicant / Transferee Company on the following ground:

a) The Applicant / Transferee Company has 13 (thirteen) Secured Creditors. A certificate issued by the Chartered Accountant certifying the list of Secured Creditors of the Applicant / Transferee Company as on 28/02/2017 shown as **Annexure-J**. It is further submitted that, 10 (ten) secured creditors constituting majority in number and amounting to a value of Rs 212,14,92,115/- which is more than 90% in value, have accorded their consent/no-objection to the proposed Scheme vide memo dated 21/08/2017 and 04/12/2017.

b) The Applicant / Transferee Company has NIL Unsecured Creditors amounting to Rs NIL as on 28/02/2017. A certified issued by the Chartered Accountant is shown as **Annexure-J.**

c) The Applicant / Transferee Company has 255 Unsecured Trade Creditors amounting to Rs 42,84,25,572/- as on 28/02/2017. List of Unsecured Trade Creditors as on 28/02/2017 certified by the Chartered Accountant is shown as **Annexure-L.** Further, the Counsel for Applicant / Transferee Company has filed Memo dated 12th December 2017 stating that, more than 90% of the Unsecured Trade Creditors of the Applicant Company has been paid off and furnished detailed list of Unsecured Trade Creditors outstanding as on 6th December 2017 duly certified by the Chartered Accountant dated 6th December 2017 is produced as Annexure-CA-1 to the Affidavit.

d) It is further submitted that, under this scheme the interests of creditors is not being prejudiced and there is no compromise contemplated with the creditors and hence the meetings of the creditors, for approving the scheme would not be required. It is further submitted that the combined assets of the amalgamated Transferee Company is sufficient to meet the aggregate liabilities of the Transferor Company.

We have seen the Consent Affidavits of the Equity Shareholders dated 1st August 2017 submitted vide Memo dated 11th August 2017. We have also seen the List of Unsecured Trade Creditors as on 28/02/2017 certified by the Chartered Accountant as shown in **Annexure-L.** We have also seen the Certificate as certified by the Chartered Accountant on 6th December 2017. Further, we have also seen the consent Affidavit of Axis Bank, Secured Creditor of the Applicant

Company which is filed with Memo dated 21st August 2017 and also the consent Affidavit of State Bank of India, Secured Creditor of the Applicant Company has been filed vide Memo dated 4th December 2017.

During the Course of hearing, this Tribunal has directed the Counsel to furnish the list and consent Affidavit of the Unsecured Creditors and Unsecured Trade Creditors of the Applicant Company. In pursuant to this, the Counsel for the Applicant Company has filed the following:-

a) Memo dt: 03/01/2018 alongwith certificate of the Chartered Accountant, showing the outstanding balance amount of Rs 3,62,13,434/- payable to the Unsecured Trade Creditors as on 6th December 2017.
b) Memo dated 30/01/2018 alongwith consent Affidavits of the Unsecured Creditors to whom an outstanding amount of Rs 18,17,168/- is due and who have given their consent by way of Affidavit for the scheme.
c) Memo dated 22/02/2018 alongwith list of Unsecured Creditors and Unsecured Trade Creditors alongwith Consent Affidavits of the Unsecured Creditors and Unsecured Trade Creditors, who have given their consent by way of Affidavit for the scheme.

The Transferor Company is proposed to be merged with the Transferee Company, as per the scheme of Amalgamation shown as **Annexure-F** and Board of Directors of the Applicant / Transferee Company have also passed the Resolution approving the Scheme of Amalgamation and consent Affidavits of all shareholders has also been provided for the scheme of amalgamation

Hence the application is allowed and holding of meeting of the Equity Shareholders, Secured Creditors, Unsecured Creditors and Unsecured Trade Creditors of the Applicant / Transferee Company **Minera Steel & Power Private Limited** is dispensed with accordingly. In any eventuality when the Applicant / Transferee Company approaches this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the scheme of Amalgamation to put forth his contentions before the Tribunal.

13/3/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

13/3/18

(RATAKONDA MURALI)
MEMBER, JUDICIAL